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Candidate surname	Other names	Centre Number	Candidate Number
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Pearson Edexcel

Level 3 GCE

Predicted Paper — Advanced

Synoptic paper. Two case-study sections combining micro and macro.

Morning (Time: 2 hours)

Paper Reference 9EC0/03

Economics A

Advanced

Paper 3: Microeconomics and Macroeconomics

You do not need any other materials.

Total Marks: 100

Instructions

- Use black ink or ball-point pen.
- Fill in the boxes at the top of this page with your name, centre number and candidate number.
- There are two sections in this question paper. Answer ALL questions from Section A and Section B.
- In each section, answer Questions (a) to (c), and EITHER Question (d) OR Question (e).
- Answer the questions in the spaces provided – there may be more space than you need.

Information

- The total mark for this paper is 100.
- The marks for each question are shown in brackets – use this as a guide as to how much time to spend on each question.
- Calculators may be used.

Advice

- Read each question carefully before you start to answer it.
- Check your answers if you have time at the end.

SECTION A

(50 marks)

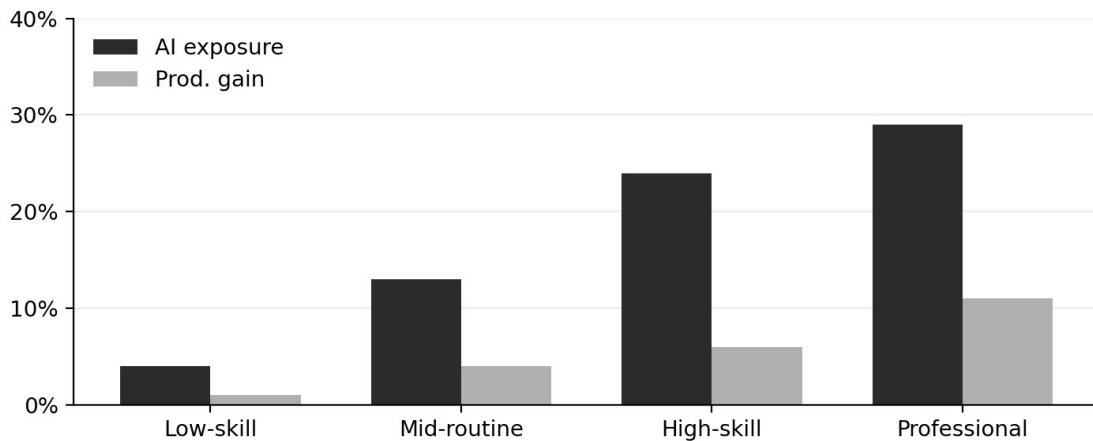
Answer ALL questions. Write your answers in the spaces provided.

You are advised to spend 1 hour on this section.

Read the following extract and study the figure before answering Question 1.

Answer ALL Questions 1(a) to 1(c), and EITHER Question 1(d) OR Question 1(e).

Figure 1: Estimated UK occupational exposure to generative AI by skill level and productivity change since 2022 (%)



(Source: adapted from OECD Employment Outlook, the Institute for Fiscal Studies and Brookings, 2025.)

Extract A — Generative AI and the task-based model of the labour market

Labour-economics research on the effects of information technology has increasingly been organised around a task-based framework. Each occupation is treated as a bundle of tasks — routine cognitive, non-routine cognitive, routine manual and non-routine manual — and the extent to which a technology substitutes for or complements labour depends on which task bundles it can perform.

Earlier digital technologies substituted primarily for routine tasks. The consequence, well documented in the UK and other advanced economies, was a polarisation (or “hollowing-out”) of the earnings distribution: declining relative demand and real wages for mid-skilled routine-task workers, combined with rising demand at both the low-skilled non-routine service end and the high-skilled non-routine cognitive end of the skill distribution.

Generative AI departs from earlier technologies along important dimensions. Early UK workplace studies suggest it can perform many non-routine cognitive tasks previously regarded as protected — text drafting, coding, visual design, and aspects of legal, financial and scientific analysis. Measured productivity gains for individual workers paired with AI tools range from roughly 14% to

37%, with the largest proportional gains accruing to less experienced workers. Counter-intuitively, higher-skilled occupations appear to display the largest task-level exposure to AI.

The aggregate implications are disputed. Optimists treat generative AI as a general-purpose technology whose productivity potential is large but slow to realise, requiring complementary changes in firm organisation, skills and capital. Pessimists warn of a renewed productivity paradox — visible adoption, elusive macroeconomic gains — and of the concentration of value capture among the small number of firms that own proprietary frontier models and supporting compute infrastructure.

(Source: adapted from OECD Employment Outlook, the Institute for Fiscal Studies, the Brookings Institution and Bank of England Financial Stability Report, 2025.)

1 (a) With reference to Figure 1, calculate the productivity gain as a percentage of AI exposure for the “Professional” occupational group. Show your working and briefly comment on what this ratio suggests. **(5)**

1 (b) With reference to Extract A and the task-based model of the labour market, discuss the likely microeconomic effects of generative AI on the wages and employment of workers in high-exposure occupations. **(12)**

1 (c) Examine the advantages of using portable, individual-level training accounts, rather than a universal basic income, as a means of responding to AI-driven labour-market disruption. **(8)**

Answer EITHER Question 1(d) OR Question 1(e).

1 (d) Evaluate the microeconomic and macroeconomic factors that an advanced economy should consider when designing policy to ensure that the productivity gains from generative AI are broadly shared across the workforce. **(25)**

1 (e) With reference to the information provided and your own knowledge, evaluate the likely microeconomic and macroeconomic effects on the UK economy of widespread adoption of generative AI over the period 2026–2035. **(25)**

TOTAL FOR SECTION A = 50 MARKS

SECTION B

(50 marks)

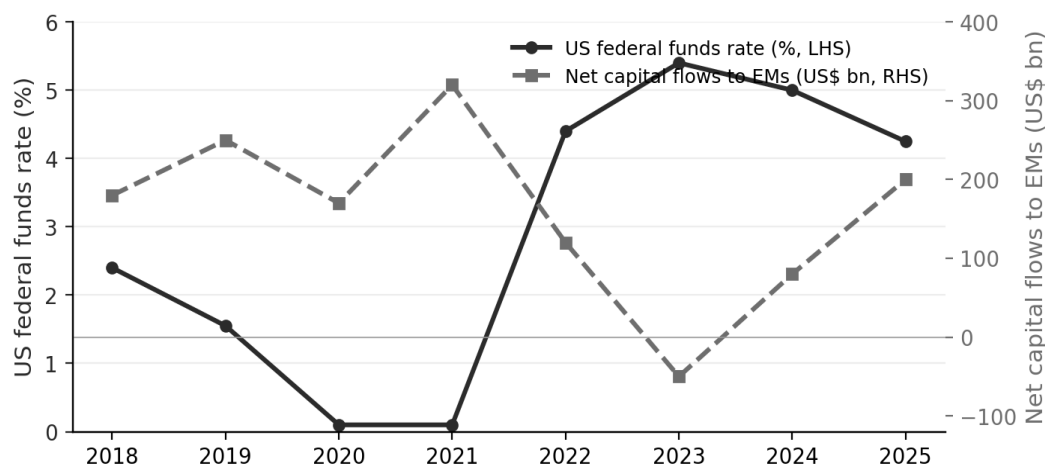
Answer ALL questions. Write your answers in the spaces provided.

You are advised to spend 1 hour on this section.

Read the following extract and study the figure before answering Question 2.

Answer ALL Questions 2(a) to 2(c), and EITHER Question 2(d) OR Question 2(e).

Figure 2: US federal funds rate and net capital flows to emerging economies, 2018-2025



(Source: adapted from IMF International Financial Statistics, Federal Reserve H.15 and the Institute of International Finance, 2025.)

Extract B — US monetary policy, the global financial cycle and emerging economies

Since the 1990s, private capital flows to emerging-market economies (EMEs) have risen substantially in both volume and volatility. Empirical research — including the widely-cited work of Hélène Rey — has argued that a “global financial cycle”, strongly correlated with the stance of US monetary policy, the strength of the US dollar and global risk appetite, drives gross capital flows, asset prices and domestic credit conditions in EMEs largely regardless of their own exchange-rate regime.

When US monetary policy tightens, the opportunity cost of holding EME assets rises, global risk appetite falls, and dollar-denominated borrowing becomes more expensive. For EMEs with large gross external liabilities, this can force sudden reversals in capital flows, sharp currency depreciations, contractions in domestic credit, and pressure on domestic commercial banks that have funded in foreign currency but lent in domestic currency.

The policy response options open to EMEs are contested. The Mundell–Fleming framework presents the “trilemma”: an economy with perfect capital mobility can choose only two of an independent monetary policy, a fixed exchange rate, and an open capital account. Subsequent work argues that in a world dominated by a global financial cycle, the trilemma collapses to a

“dilemma” — even flexible exchange rates fail to deliver full monetary autonomy, so macroprudential and capital-flow-management measures may be required alongside conventional policy.

Supporters of expanded global financial safety nets — larger IMF lending facilities, expanded central-bank swap lines, and strengthened regional financial arrangements — argue these reduce the need for costly precautionary reserve accumulation and lower the risk of destructive crises. Critics argue that such insurance creates moral hazard and encourages imprudent foreign-currency borrowing by EME governments and firms.

(Source: adapted from IMF Global Financial Stability Report, the Bank for International Settlements, and the Centre for Economic Policy Research, 2025.)

2 (a) With reference to Figure 2, explain what the data suggest about the relationship between the US federal funds rate and net capital flows to emerging economies between 2018 and 2025. **(5)**

2 (b) Examine the likely effects on the profitability of an emerging-economy commercial bank of a sudden tightening of US monetary policy. Use a cost and revenue diagram to support your answer. **(8)**

2 (c) With reference to Extract B and the Mundell–Fleming framework, discuss the likely macroeconomic effects on a small open emerging economy operating a flexible exchange rate of a sharp tightening of US monetary policy. **(12)**

Answer EITHER Question 2(d) OR Question 2(e).

2 (d) Evaluate the microeconomic and macroeconomic consequences for an emerging economy of pursuing full financial-account openness in the presence of a strong global financial cycle. **(25)**

2 (e) With reference to the information provided and your own knowledge, evaluate the case for an emerging economy using macroprudential regulation and capital-flow management measures, rather than exchange-rate flexibility alone, to manage the risks of a volatile global financial cycle. **(25)**

TOTAL FOR SECTION B = 50 MARKS

TOTAL FOR PAPER = 100 MARKS

END